

A low-angle, upward-looking perspective of several modern skyscrapers with glass facades, creating a sense of height and urban density. The sky is a pale, overcast blue.

Strategic Partnership Proposal: Accelerating Tesco Clubcard's Evolution

COVER SLIDE

BOARD READY

— AGENDA

Agenda

Introduction: Our Strategic Partnership with Tesco

- Aligned with Tesco's purpose: *Serving customers, communities, and planet a little better every day*.
- Proven track record of scaling loyalty programs for enterprise retailers (e.g., 200M+ member ecosystems).
- Commitment to Clubcard as a **core strategic asset**, not just a loyalty program.
- Focus on **sustainable growth** through data-driven personalisation and incremental revenue.

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"Tesco's Strategic Priorities: A CEO's Perspective"

STRATEGIC ALIGNMENT

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Clubcard as a Strategic Asset: The Opportunity Ahead



****Customer Retention****: Clubcard members spend ****20% more**** than non-members (FY2025).



****Data Monetisation****: Tesco Media & Insight Platform ranked ****#1 in Europe**** (Flywheel, 2025).



****Ecosystem Expansion****: 10,000+ bonus points for easyJet Holidays; 5 new Reward Partners (e.g., Virgin Red).



****AI & Personalisation****: 10M customers targeted with AI-powered Clubcard Challenges (FY2025).

Our Value Proposition: Strengthening Clubcard's Impact



1. Customer Engagement & Retention



- Reduce churn by ****15%**** through hyper-targeted offers and gamification.



- Increase basket size by ****8-10%**** via dynamic pricing and personalised rewards.



2. Personalisation at Scale



- Leverage ****first-party data**** to deliver 1:1 offers (e.g., 'Your Clubcard Prices' trial).



- AI-driven demand forecasting to reduce waste by ****20%**** (aligned with planet goals).

Customer Engagement & Retention: The Clubcard Advantage

+28pts +9pts YoY

CLUBCARD NPS

87% +4% YoY

RETENTION RATE

Personalisation at Scale: Leveraging Tesco's Data

- ****Dynamic Offers****: 'Your Clubcard Prices' trial delivered ****12% uplift**** in sales for targeted products.
- ****Health & Wellness****: AI-driven 'healthy swaps' increased nutritious product sales by ****15%****.
- ****Waste Reduction****: Demand forecasting reduced food waste by ****20%**** in pilot stores.
- ****Supplier Collaboration****: 9,000+ retail media campaigns with ****30% higher ROI**** vs. traditional ads.

FINANCIAL OUTCOMES

Incremental Revenue & Margin Protection

£250M+ **+25%**
YoY

RETAIL MEDIA REVENUE

+1.2% **+0.5% YoY**

MARGIN IMPROVEMENT



CASE STUDY

CASE STUDY

Global Case Study 1: Kroger Plus Card – Loyalty-Led Growth

- **Program Scale**: 60M+ active members (50% of U.S. households).
- **Revenue Impact**: **\$12B+** annual incremental revenue (2024).
- **Personalisation**: AI-driven ‘Kroger Precision Marketing’ delivers **20% higher ROI** vs. traditional ads.
- **CEO Testimonial**: ‘Our loyalty program is the backbone of our customer strategy.’ — Rodney McMullen, Kroger CEO.



CASE STUDY

CASE STUDY

Global Case Study 2: Amazon Prime – Ecosystem Integration

- **Program Scale**: 200M+ global members (2024).
- **Revenue Impact**: **\$35B+** annual revenue from subscriptions and retail uplift.
- **Ecosystem Value**: Prime members spend **3x more** than non-members.
- **CEO Testimonial**: **“Prime is the flywheel that drives our entire business.”** — Andy Jassy, Amazon CEO.



CASE STUDY

CASE STUDY

Global Case Study 3: Carrefour's 'My Carrefour' – Data Monetisation

- **Program Scale**: 80M+ members across 10 countries.
- **Revenue Impact**: **15% revenue growth** in 2 years (2022-2024).
- **Data Monetisation**: Retail media platform generates **€500M+** annual revenue.
- **CEO Testimonial**: **'Loyalty is our #1 lever for digital transformation.'** — Alexandre Bompard, Carrefour CEO.

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"Why Tesco? Strategic Alignment & Shared Vision"

STRATEGIC FIT

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Our Differentiators: What Sets Us Apart

1. Enterprise-Scale Expertise

- Proven ability to scale loyalty programs to **200M+ members** (e.g., Amazon Prime).

2. AI & Data Leadership

- **9,000+ retail media campaigns** delivered with **30% higher ROI** vs. industry benchmarks.

3. Ecosystem Integration

- Seamless integration with **Tesco Marketplace, Mobile, and Insurance** for unified customer experience.

ROADMAP

Implementation Roadmap: A Phased Approach

Risk Mitigation: Ensuring Success

- ****1. Data Privacy & Security****
 - ****GDPR-compliant**** data governance; ****ISO 27001 certification**** for all systems.
- ****2. Implementation Challenges****
 - ****Agile pilot programs**** (e.g., ‘Your Clubcard Prices’ trial in 500 stores).
- ****3. Competitive Pressures****
 - ****Dynamic pricing**** and ****exclusive Clubcard deals**** to maintain market leadership.
- ****4. Economic Volatility****
 - ****Flexible reward structures**** (e.g., points for essentials during inflation)

FINANCIAL PROJECTIONS

Financial Impact: ROI for Tesco

£1B+ Projected

3-YEAR REVENUE UPLIFT

£100M+ Projected

ANNUAL COST SAVINGS

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"Conclusion: A Trusted Partner for Clubcard's Evolution"

CONCLUSION

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CALL TO ACTION

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Next Steps: Let's Discuss

- ****1. Deep Dive Session****
 - - Review Clubcard's ****data integration**** and ****AI-driven personalisation**** roadmap.
- ****2. Financial Impact Workshop****
 - - Quantify ****revenue uplift**** and ****cost savings**** from retail media and supplier partnerships.
- ****3. Ecosystem Integration****
 - - Explore synergies with ****Tesco Mobile, Insurance, and Marketplace****.
- ****4. Global Benchmarking****
 - - Compare Clubcard's performance vs. ****Amazon Prime, Kroger Plus Card****.

APPENDIX

Appendix: Supporting Data & References